CHAPTER 34.

An Act to amend the Law with respect to Bankruptcy and Deeds of Arrangement. [15th August 1913.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Part I.

Bankruptcy.

Power to prosecute offences summarily.

32 & 33 Vict. c. 62.

1.—(1) Any offence under, or which may be dealt with as if it were an offence under, the Debtors Act, 1869, alleged to have been committed by a person who has been adjudged bankrupt, or in respect of whose estate a receiving order has been made, may be prosecuted summarily, and, if so prosecuted, references in the enactments creating those offences to the jury shall be construed as references to a court of summary jurisdiction:

Provided that—

(*a*) the maximum term of imprisonment, with or without hard labour, which may be awarded by a court of summary jurisdiction for any such offence shall be six months; and

(*b*) summary proceedings in respect of any such offence shall not be instituted after one year from the first discovery thereof either by the Official Receiver or by the trustee in the bankruptcy, or, in the case of proceedings instituted by a creditor, by the creditor, nor in any case shall they be instituted after three years from the commission of the offence.

46 & 47 Vict. c. 52.

(2) Where the prosecution of a person for any such offence is ordered by the court, and the order of the court is made on the application of the Official Receiver and based on his report, the Board of Trade may, notwithstanding anything in section one hundred and sixty-six of the Bankruptcy Act, 1883 (herein-after referred to as "the principal Act"), themselves or through the Official Receiver institute the prosecution and carry on the proceedings, if or so long as those proceedings are conducted before a court of summary jurisdiction, unless in the course thereof circumstances arise which, in the opinion of such court or of the Board, render it desirable that the remainder of the proceedings should be carried on by the Director of Public Prosecutions.

Provisions with respect to offences under the Debtors Act, 1869.

2.—(1) Where under the Debtors Act, 1869, an act or default committed by a person who has been adjudged bankrupt, or in respect of whose estate a receiving order has been made, is an offence unless the jury are satisfied that he had no intent to defraud, or (as the case may be) to conceal the state of his affairs or to defeat the law, it is hereby declared that the onus of proving the absence of such intent lies upon the person accused, and that it is not necessary to allege in the indictment or information charging the offence, or to prove, any such intent.

(2) Any acts or defaults committed after the commencement of this Act by any person who has been adjudged bankrupt, or in respect of whose estate a receiving order has been made, which under any of the provisions of the Debtors Act, 1869, are made offences if committed within four months next before the presentation of a bankruptcy petition by or against such person, shall be offences if committed within six months next before the presentation of such a petition.

(3) Any act or default which under paragraphs thirteen, fourteen, or fifteen of section eleven of the Debtors Act, 1869, as amended by this section, is an offence if committed within six months next before the presentation of a bankruptcy petition, shall be an offence if committed after the presentation of a bankruptcy petition and before the making of a receiving order.

(4) Paragraphs fourteen and fifteen of section eleven of the Debtors Act, 1869 (which make certain acts offences if committed by traders), shall extend to the like acts committed after the commencement of this Act by persons who are not traders, and accordingly those paragraphs in relation to persons who are not traders shall have effect as if the words "being a trader," wherever they occur in those paragraphs, and the words "otherwise than in the ordinary way of his trade," which occur in paragraph fifteen, were omitted therefrom.

(5) Section eleven of the Debtors Act, 1869, shall be construed and have effect as if references to the trustee administering an estate for the benefit of creditors included references to the Official Receiver.

(6) Section fourteen of the Debtors Act, 1869 (which relates to false claims by creditors), shall extend to persons claiming to be creditors, and accordingly in that section after the word "creditor" there shall be inserted the words "or any person claiming to be a creditor."

(7) Notwithstanding anything in section sixteen of the Debtors Act, 1869, it shall not be obligatory on any court, in the absence of any application by the Official Receiver for such an order, to make an order under that section for the prosecution of an offence, unless it appears to the court not only that there is a reasonable probability that the bankrupt will be convicted, but also that the circumstances are such as to render a prosecution desirable.

(8) The Debtors Act, 1869, shall, as regards any acts or defaults committed after the commencement of this Act, have effect as if for section eleven thereof there were substituted the

provisions set forth in the First Schedule to this Act, being the said section eleven as amended by subsequent enactments, including this section.

Punishment on bankrupt failing to keep proper accounts.

3.—(1) If any person who has on any previous occasion been adjudged bankrupt or made a composition or arrangement with his creditors is adjudged bankrupt, or if a receiving order is made in respect of his estate, he shall be guilty of an offence and may be dealt with and punished as if he had been guilty of an offence under section eleven of the Debtors Act, 1869, if, having during the whole or any part of the two years immediately preceding the date of the presentation of the bankruptcy petition been engaged in any trade or business, he has not kept proper books of account throughout those two years or such part thereof as aforesaid, and, if so engaged at the date of presentation of the petition, thereafter, whilst so engaged, up to the date of the receiving order, or has not preserved all books of account so kept:

Provided that a person who has not kept or has not preserved such books of account shall not be convicted of an offence under this section if his unsecured liabilities at the date of the receiving order did not exceed one hundred pounds, or if he proves that in the circumstances in which he traded or carried on business the omission was honest and excusable.

(2) A prosecution shall not be instituted against any person under this section except by order of the court, nor, where the receiving order in the bankruptcy is made within two years, from the commencement of this Act.

(3) For the purposes of this section, a person shall be deemed not to have kept proper books of account if he has not kept such books or accounts as are necessary to exhibit or explain his transactions and financial position in his trade or business, including a book or books containing entries from day to day in sufficient detail of all cash received and cash paid, and, where the trade or business has involved dealings in goods, also accounts of all goods sold and purchased, and statements of annual stocktakings.

(4) Paragraphs (9), (10) and (11) of section eleven of the Debtors Act, 1869 (which relate to the destruction, mutilation and falsification and other fraudulent dealing with books and documents), shall, in their application to such books as aforesaid, have effect as if "two years next before the presentation of the bankruptcy petition" were substituted for the time mentioned in those paragraphs as the time prior to the presentation within which the acts or omissions specified in those paragraphs constitute an offence.

Punishment of bankrupt for gambling, &c.

4.—(1) Any person who has been adjudged bankrupt, or in respect of whose estate a receiving order has been made, shall be guilty of an offence, and may be dealt with and punished as if he had been guilty of an offence under section eleven of the

Debtors Act, 1869, if, having been engaged in any trade or business, and having outstanding at the date of the receiving order any debts contracted in the course and for the purposes of such trade or business,—

(a) he has, within two years prior to the presentation of the bankruptcy petition, materially contributed to or increased the extent of his insolvency by gambling or by rash and hazardous speculations, and such gambling or speculations are unconnected with his trade or business; or

(b) he has, between the date of the presentation of the petition and the date of the receiving order, lost any part of his estate by such gambling or rash and hazardous speculations as aforesaid; or

(c) on being required by the Official Receiver at any time, or, in the course of his public examination, by the court, to account for the loss of any substantial part of his estate incurred within a period of a year next preceding the date of the presentation of the bankruptcy petition, or between that date and the date of the receiving order, he fails to give a satisfactory explanation of the manner in which such loss was incurred:

Provided that, in determining for the purposes of this section whether any speculations were rash and hazardous, the financial position of the accused person at the time when he entered into the speculations shall be taken into consideration.

(2) A prosecution shall not be instituted against any person under this section except by order of the court, nor, where the receiving order in the bankruptcy is made within two years, from the commencement of this Act.

Obtaining credit by undischarged bankrupts.

5.—(1) Where an undischarged bankrupt—

(a) either alone or jointly with any other person obtains credit to the extent of ten pounds or upwards from any person without informing such person that he is an undischarged bankrupt; or

(b) engages in any trade or business under a name other than that under which he was adjudicated bankrupt without disclosing to all persons with whom he enters into any business transaction the name under which he was adjudicated bankrupt;

he shall be guilty of an offence and may be dealt with and punished as if he had been guilty of an offence under section eleven of the Debtors Act, 1869.

(2) Section thirty-one of the principal Act is hereby repealed.

Amendment of provisions as to discharge. 53 & 54 Vict. c. 71.

6. Where under section eight of the Bankruptcy Act, 1890, an application is made by a bankrupt for his discharge, the period for which the discharge may be suspended may, notwithstanding anything in subsection (2) of that section, be a period of less than two years if of the facts referred to in that subsection the only fact proved is that the bankrupt's assets are not of a value equal to ten shillings in the pound on the amount of his unsecured liabilities.

Security in cases of compositions and schemes of arrangement.

7. "Five shillings in the pound" shall be substituted for "seven shillings and sixpence in the pound" in subsection (9) of section three of the Bankruptcy Act, 1890, as the sum for the payment of which reasonable security must be provided under the circumstances stated in that subsection before the court may approve a proposal by a debtor for a composition in satisfaction of his debts or for a scheme of arrangement of his affairs.

Meaning of "debtor" in Bankruptcy Acts.

8. In the Bankruptcy Acts, 1883 and 1890, and in this Act, the expression "a debtor," unless the context otherwise implies, includes any person, whether a British subject or not, who at the time when any act of bankruptcy was done or suffered by him—

(*a*) was personally present in England; or

(*b*) ordinarily resided or had a place of residence in England; or

(*c*) was carrying on business in England, personally, or by means of an agent or manager; or

(*d*) was a member of a firm or partnership which carried on business in England.

Conditions on which creditor may petition.

9. For paragraph (*d*) of subsection (1) of section six of the principal Act (which relates to the conditions on which a creditor may present a bankruptcy petition), the following paragraph shall be substituted:—

"(*d*) The debtor is domiciled in England, or within a year before the date of the presentation of the petition has ordinarily resided, or had a dwelling-house or place of business, in England, or (except in the case of a person domiciled in Scotland or Ireland or a firm or partnership having its principal place of business in Scotland or Ireland) has carried on business in England, personally or by means of an agent or manager, or (except as aforesaid) is or within the said period has been a member of a firm or partnership of persons which has carried on business in England by means of a partner or partners, or an agent or manager."

Validity of certain payments to bankrupt and assignee.

10. A payment of money, or delivery of property, to a person subsequently adjudged bankrupt, or to a person claiming by assignment from him shall, notwithstanding anything in the enactments relating to bankruptcy, be a good discharge to the person paying the money or delivering the property, if the payment or delivery is made before the actual date on which the receiving order is made and (except in cases where the receiving order is made under subsection (5) of section one hundred and three of the principal Act) without notice of the presentation of a bankruptcy petition, and is either pursuant to the ordinary course of business or otherwise bonâ fide.

Dealings with undischarged bankrupt.

11.—(1) All transactions by a bankrupt with any person dealing with him bonâ fide and for value in respect of property, whether real or personal, acquired by the bankrupt after the adjudication shall, if completed before any intervention by the trustee, be valid against the trustee, and any estate or interest in such property which by virtue of the enactments relating to bankruptcy is vested in the trustee shall determine and pass in such manner and to such extent as may be required for giving effect to any such transaction.

This subsection shall apply to transactions with respect to real property completed before the commencement of this Act in any case where there has not been any intervention by the trustee before that date.

For the purposes of this subsection, the receipt of any money, security, or negotiable instrument from, or by the order or direction of, a bankrupt by his banker, and any payment and any delivery of any security or negotiable instrument made to, or by the order or direction of, a bankrupt by his banker, shall be deemed to be a transaction by the bankrupt with such banker dealing with him for value.

(2) Where a banker has ascertained that a person having an account with him is an undischarged bankrupt, then, unless the banker is satisfied that the account is on behalf of some other person, it shall be his duty forthwith to inform the trustee in bankruptcy or the Board of Trade of the existence of the account, and thereafter he shall not make any payments out of the account except under an order of the court or in accordance with instructions from the trustee in bankruptcy, unless by the expiration of one month from the date of giving the information no instructions have been received from the trustee.

(3) In the event of a second or subsequent receiving order being made against a bankrupt, any property acquired by him since he was last adjudged bankrupt which at the date when the subsequent petition was presented had not been distributed amongst the creditors in such last preceding bankruptcy, shall (subject to any disposition thereof made by the official receiver or trustee in that bankruptcy, without knowledge of the presentation of the subsequent petition and subject to the provisions of subsection (1) of this section) vest in the trustee in the subsequent bankruptcy, but any unsatisfied balance of the debts provable under the last preceding bankruptcy may be proved in the subsequent bankruptcy by the trustee in the last preceding bankruptcy.

(4) Where the trustee in any bankruptcy receives notice of a subsequent petition in bankruptcy against the bankrupt, he shall hold any property then in his possession which has been

acquired by the bankrupt since he was adjudged bankrupt until the subsequent petition has been disposed of, and, if on the subsequent petition an order of adjudication is made, he shall transfer all such property or the proceeds thereof (after deducting his costs and expenses) to the trustee in the subsequent bankruptcy.

Married women.

12.—(1) Every married woman who carries on a trade or business, whether separately from her husband or not, shall be subject to the bankruptcy laws as if she were a feme sole.

(2) Where a married woman carries on a trade or business and a final judgment or order has been obtained against her, whether or not expressed to be payable out of her separate property, for any amount, that judgment or order shall be available for bankruptcy proceedings against her by a bankruptcy notice as though she were personally bound to pay the judgment debt or sum ordered to be paid.

(3) Where a married woman who has been adjudged bankrupt has separate property the income of which is subject to a restraint on anticipation, the court shall have power, on the application of the trustee, to order that during such time as the court may order the whole or some part of such income be paid to the trustee for distribution among the creditors, and in the exercise of such power the court shall have regard to the means of subsistence available for such woman and her children.

(4) Where a married woman has been adjudged bankrupt, her husband shall not be entitled to claim any dividend as a creditor in respect of any money or other estate lent or entrusted by him to his wife for the purposes of her trade or business until all claims of the other creditors of his wife for valuable consideration in money or money's worth have been satisfied.

Amendment of s. 47 of principal Act as to the avoidance of settlements.

13. The following subsections shall be substituted for subsection (2) of section forty-seven of the Bankruptcy Act, 1883, which relates to the avoidance of settlements:—

"(2) Any covenant or contract made by any person (hereinafter called the settlor) in consideration of his or her marriage, either for the future payment of money for the benefit of the settlor's wife or husband, or children, or for the future settlement on or for the settlor's wife or husband or children of property, wherein the settlor had not at the date of the marriage any estate or interest, whether vested or contingent, in possession or remainder, and not being money or property in right of the settlor's wife or husband, shall, if the settlor is adjudged bankrupt and the covenant or contract has not been executed at the date of the commencement of his bankruptcy, be void against the trustee in bankruptcy, except so far as it enables the persons entitled under the covenant or contract to claim for dividend in the settlor's bankruptcy under or in respect of the covenant or contract, but any such claim to dividend shall be postponed until all claims of the other creditors for valuable consideration in money or money's worth have been satisfied.

"(2A) Any payment of money (not being payment of premiums on a policy of life assurance) or any transfer of property made by the settlor in pursuance of such a covenant or contract as aforesaid shall be void against the trustee in the settlor's bankruptcy, unless the persons to whom the payment or transfer was made, prove, either—

"(a) that the payment or transfer was made more than two years before the date of the commencement of the bankruptcy; or

"(b) that at the date of the payment or transfer the settlor was able to pay all his debts without the aid of the money so paid or the property so transferred; or

"(c) that the payment or transfer was made in pursuance of a covenant or contract to pay or transfer money or property expected to come to the settlor from or on the death of a particular person named in the covenant or contract and was made within three months after the money or property came into the possession or under the control of the settlor:

but, in the event of any such payment or transfer being declared void, the persons to whom it was made shall be entitled to claim for dividend under or in respect of the covenant or contract in like manner as if it had not been executed at the commencement of the bankruptcy."

Avoidance of general assignments of book debts unless registered.

14.—(1) Where a person engaged in any trade or business makes an assignment to any other person of his existing or future book debts or any class thereof, and is subsequently adjudicated bankrupt, the assignment shall be void against the trustee as regards any book debts which have not been paid at the commencement of the bankruptcy unless the assignment has been registered as if the assignment were a bill of sale given otherwise than by way of security for the payment of a sum of money, and the provisions of the Bills of Sale Act, 1878, with respect to the registration of bills of sale shall apply accordingly, subject to such necessary modifications as may be made by rules under that Act: 41 & 42 Vict. c. 31.

Provided that nothing in this section shall have effect so as to render void any assignment of book debts due at the date of the assignment from specified debtors, or of debts growing due under specified contracts, or any assignment of book debts included in a transfer of a business made bonâ fide and for value, or in any assignment of assets for the benefit of creditors generally.

(2) For the purposes of this section, "assignments" include assignments by way of security and other charges on book debts.

Protection of sheriff, &c. selling goods under execution without notice of claim by third party.

15. Where any goods in the possession of an execution debtor at the time of seizure by a sheriff, high bailiff, or other officer charged with the enforcement of a writ, warrant, or other process of execution, are sold by such sheriff, high bailiff, or other officer, without any claim having been made to the same, the purchaser of the goods so sold shall acquire a good title to the goods so sold, and no person shall be entitled to recover against the sheriff, high bailiff, or other officer, or anyone lawfully acting under the authority of either of them, except as provided by the Bankruptcy Acts, 1883 and 1890, for any sale of such goods or for paying over the proceeds thereof, prior to the receipt of a claim to the said goods unless it is proved that the person from whom recovery is sought had notice, or might by making reasonable inquiry have ascertained that the goods were not the property of the execution debtor: Provided that nothing in this section contained shall affect the right of any claimant who may prove that at the time of sale he had a title to any goods so seized and sold to any remedy to which he may be entitled against any person other than such sheriff, high bailiff, or other officer as aforesaid.

Amendment of s. 4 (1) (*g*) of principal Act as to acts of bankruptcy.

16.—(1) Section four of the principal Act (which relates to acts of bankruptcy) shall have effect as though in paragraph (*g*) of subsection (1) thereof (which makes it an act of bankruptcy to fail to pay a judgment debt after bankruptcy notice where bankruptcy notice has been served) and in section one of the Bankruptcy Act, 1890, references to final orders and to sums ordered to be paid were included in the references to final judgments and judgment debts respectively wherever the same occur, and a reference to the proceedings in which the order was obtained was included in the reference to the action in which the judgment was obtained.

(2) Notwithstanding anything in the said paragraph (*g*) :—

(i) a bankruptcy notice may specify an agent to act on behalf of the creditor in respect of any payment or other thing required by the notice to be made to, or done to the satisfaction of, the creditor ;

(ii) a bankruptcy notice shall not be invalidated by reason only that the sum specified in the notice as the amount due exceeds the amount actually due, unless the debtor within the time allowed for payment gives notice to the creditor that he disputes the validity of the notice on the ground of such misstatement, but, if the debtor does not give such notice, he shall be deemed to have complied with the bankruptcy notice if within the time allowed he takes such steps as would have constituted a compliance with the notice had the actual amount due been correctly specified therein.

17. The power under section twenty-two of the principal Act to appoint at a meeting of creditors as members of a committee of inspection the holders of general proxies or general powers of attorney from the creditors shall be deemed to include the power to appoint a person subject to his subsequently becoming the holder of such a general proxy or general power of attorney: Provided that a person appointed a member of a committee of inspection under this provision shall not be qualified to act until he holds such a proxy or power of attorney. Amendment of s. 22 of principal Act as to committee of inspection.

18.—(1) Where in exercise of the power conferred by section forty-two of the principal Act the landlord or other person to whom any rent is due from a bankrupt distrains upon the goods or effects of the bankrupt for rent due from the bankrupt, such distress for rent, if levied after the commencement of the bankruptcy, shall not be available for rent payable in respect of any period subsequent to the date when the distress was levied, and accordingly in subsection (1) of that section, after the words "order of adjudication" there shall be inserted the words "and "shall not be available for rent payable in respect of any "period subsequent to the date when the distress was levied." Landlord's power of distress in case of bankruptcy.

(2) Where any goods of a debtor have been taken in execution, the limit on the amount of rent which the party at whose suit the execution is sued out is liable to pay to the landlord under section one of the Landlord and Tenant Act, 1709, or which the landlord is entitled to be paid under section one hundred and sixty of the County Courts Act, 1888, shall, unless notice of claim for rent due has been served on the sheriff or bailiff or other officer levying the execution by or on behalf of the landlord before the commencement of the debtor's bankruptcy, be six months' rent, instead of one year's rent, and the rights of the landlord under the said provisions shall not extend to any claim for rent payable in respect of any period subsequent to the date of such notice unless such notice was served as aforesaid before the commencement of the debtor's bankruptcy. 8 Anne c. 18. 51 & 52 Vict. c. 43.

(3) Nothing in the last preceding subsection shall be construed as imposing any liability on the sheriff, bailiff, or other officer levying the execution, or on the person at whose suit the execution was sued out, to account for any sum actually paid to the landlord by him before notice was served on him that a receiving order had been made against the debtor, but the landlord shall be liable to pay to the trustee in the bankruptcy any sum he may have received from such sheriff, bailiff, officer, or person as aforesaid in excess of the amount which he was entitled to be paid, without prejudice, however, to the right of the landlord to prove for the amount of such excess.

19.—(1) If the Board of Trade are of opinion that any trusteeship in bankruptcy is being needlessly protracted without Removal of trustee.

any probable advantage to the creditors, the Board may remove the trustee from his office, but, if the creditors by ordinary resolution disapprove of his removal, he or they may appeal against it to the High Court.

(2) Where on the release, removal, resignation, or death of a trustee in bankruptcy an official receiver is acting as trustee, he may disclaim any onerous property of the bankrupt which might be disclaimed by a trustee under section fifty-five of the principal Act, notwithstanding that the time prescribed by that section for such disclaimer has expired, but such power of disclaimer shall be exerciseable only within twelve months after the official receiver has become trustee in the circumstances aforesaid or has become aware of the existence of such onerous property, whichever period may last expire.

Power to order payment into local banks in certain cases.

20. In any bankruptcy composition or scheme of arrangement in which the Official Receiver is acting as trustee or in which a trustee is acting without a committee of inspection, the Board of Trade may, if for special reasons they think fit to do so, and notwithstanding anything in section seventy-four of the principal Act, upon the application of the Official Receiver or other trustee authorise the trustee to make his payments into and out of such local bank as the Board may direct.

Such account shall be opened and kept by the trustee in the name of the debtor's estate, and any interest receivable in respect of the account shall be part of the assets of the estate.

The trustee shall make his payments into and out of such local bank in the prescribed manner.

Provisions as to estates of persons dying insolvent.

21.—(1) The following provisions, namely—

Section twenty-seven of the principal Act (which relates to the discovery of a debtor's property);

Section seventy-three of the principal Act (which relates to the costs of trustees, managers, and other persons);

Section one hundred and twenty-one of the principal Act (which relates to the summary administration of small estates); and

50 & 51 Vict. c. 66.

Subsection (2) of section six of the Bankruptcy (Discharge and Closure) Act, 1887 (which relates to the duties and liabilities of an official receiver or official assignee who has been released);

shall, so far as the same are applicable, apply in the case of the administration in bankruptcy of the estate of a person dying insolvent in like manner as in the case of the administration of the estate of a person adjudged bankrupt, and section one hundred and twenty-five of the principal Act (which relates to the administration in bankruptcy of the estates of persons dying insolvent) shall have effect accordingly as though the abovementioned provisions were included amongst the provisions of the principal Act applied in such a case by subsection (6) of that section, but subject to any modifications that may be made therein by general rules under subsection (11) of that section for adapting them to such case as aforesaid.

(2) If no committee of inspection is appointed under subsection (3) of section twenty-one of the Bankruptcy Act, 1890, in the case of a person dying insolvent, any act or thing or any direction or permission which might have been done or given by a committee of inspection may be done or given by the Board of Trade.

(3) A petition for the administration of the estate of a deceased debtor under section one hundred and twenty-five of the principal Act may be presented by the legal personal representative of the debtor; and, where a petition is so presented by such a representative, that section shall apply subject to such modifications as may be prescribed by general rules made under subsection (11) of that section.

Amendment of s. 23 of the Act of 1890 as to interest on debt.

22. In dealing with any proof of a debt to which section twenty-three of the Bankruptcy Act, 1890 (which relates to interest on debts) applies, the following rules shall be observed:—

(*a*) Any account settled between the debtor and the creditor within three years preceding the date of the receiving order may be examined, and, if it appears that the settlement of the account forms substantially one transaction with any debt alleged to be due out of the debtor's estate (whether in the form of renewal of a loan or capitalisation of interest or ascertainment of loans or otherwise), the account may be re-opened and the whole transaction treated as one;

(*b*) Any payments made by the debtor to the creditor before the receiving order, whether by way of bonus or otherwise, and any sums received by the creditor before the receiving order from the realisation of any security for the debt shall, notwithstanding any agreement to the contrary, be appropriated to principal and interest in the proportion that the principal bears to the sum payable as interest at the agreed rate;

(*c*) Where the debt due is secured and the security is realised after the receiving order, or the value thereof is assessed in the proof, the amount realised or assessed shall be appropriated to the satisfaction of principal and interest in the proportion that the principal bears to the sum payable as interest at the agreed rate.

Protection of official receivers and trustees from personal

23. Where the Official Receiver or trustee has seized or disposed of any goods, chattels, property, or other effects in the possession or on the premises of a debtor against whom a receiving order has been made, without notice of any claim by liability in certain cases.

any person in respect of the same, and it is thereafter made to appear that the said goods, chattels, property, or other effects were not, at the date of the receiving order, the property of the debtor, the Official Receiver or trustee shall not be personally liable for any loss or damage arising from such seizure or disposal sustained by any person claiming such property, nor for the costs of any proceedings taken to establish a claim thereto, unless the court is of opinion that the Official Receiver or trustee has been guilty of negligence in respect of the same.

Application of bankruptcy law to limited partnerships.

24.—(1) The enactments relating to bankruptcy shall, subject to such modifications as may be made by general rules under the principal Act, apply to limited partnerships in like manner as if limited partnerships were ordinary partnerships, and, on all the general partners of a limited partnership being adjudged bankrupt, the assets of the limited partnership shall vest in the trustee.

8 Edw. 7. c. 69.

(2) Such of the provisions of the Companies (Consolidation) Act, 1908, as relate to the winding up of limited partnerships shall be repealed as respects England.

Provisions as to copyright.

25. Where the property of a bankrupt comprises the copyright in any work or any interest in such copyright, and he is liable to pay to the author of the work royalties or a share of the profits in respect thereof, the trustee in the bankruptcy shall not be entitled to sell, or authorise the sale of, any copies of the work, or to perform or authorise the performance of the work, except on the terms of paying to the author such sums by way of royalty or share of the profits as would have been payable by the bankrupt, nor shall he, without the consent of the author or of the court, be entitled to assign the right or transfer the interest or to grant any interest in the right by licence except upon terms which will secure to the author payments by way of royalty or share of profits at a rate not less than that which the bankrupt was liable to pay.

Right of trustee to inspect goods pawned, &c.

26. Where any goods of a debtor against whom a receiving order has been made are held by any person by way of pledge, pawn, or other security, it shall be lawful for the official receiver or trustee of the debtor's estate, after giving notice in writing of his intention to do so, to inspect the goods, and, where such notice has been given, such person as aforesaid shall not be entitled to realise his security until he has given the trustee a reasonable opportunity of inspecting the goods and of exercising his right of redemption if he thinks fit to do so.

Minor amendments of Bankruptcy Acts.

27. The amendment specified in the second column of the Second Schedule to this Act (which relate to minor details) shall be made in the provisions of the Bankruptcy Acts, 1883 and 1890, specified in the first column of that Schedule.

Part II.

Deeds of Arrangement.

28.—(1) A deed of arrangement shall be void unless, before or within twenty-one days after the registration thereof, or within such extended time as the High Court or the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the execution of the deed may allow, it has received the assent of a majority in number and value of the creditors of the debtor. Avoidance of deeds of arrangement unless assented to by a majority of the creditors.

(2) The list of creditors annexed to the affidavit of the debtor filed on the registration of the deed of arrangement shall be primâ facie evidence of the names of the creditors and the amounts of their claims.

(3) The assent of a creditor for the purposes of subsection (1) of this section shall be established by his executing the deed of arrangement or sending to the trustee his assent in writing attested by a witness, but not otherwise.

(4) The trustee shall file with the Registrar of Bills of Sale at the time of the registration of a deed of arrangement, or, in the case of a deed of arrangement assented to after registration, within twenty-eight days after registration or within such extended time as the High Court or the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the execution of the deed may allow, a statutory declaration by the trustee that the requisite majority of the creditors of the debtor have assented to the deed of arrangement, which declaration shall, in favour of a purchaser for value, be conclusive evidence, and in other cases be primâ facie evidence, of the fact declared.

(5) In calculating a majority of creditors for the purposes of this and the next following section, a creditor holding security upon the property of the debtor shall be reckoned as a creditor only in respect of the balance (if any) due to him after deducting the value of such security, and creditors whose debts amount to sums not exceeding ten pounds shall be reckoned in the majority in value but not in the majority in number.

29.—(1) The trustee under a deed of arrangement shall, within seven days from the date on which the statutory declaration certifying the assent of the creditors is filed, give security in the prescribed manner to the Registrar of the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the execution of the deed, or, if he then resided or carried on business in the London bankruptcy district, to the senior bankruptcy registrar of the High Court, in a sum equal to the estimated assets available for distribution Security by trustee of deed of arrangement.

amongst the unsecured creditors as shown by the affidavit filed on registration, to administer the deed properly and account fully for the assets which come to his hands, unless a majority in number and value of the assigning debtor's creditors, either by resolution passed at a meeting convened by notice to all the creditors, or by writing addressed to the trustee, dispense with his giving such security:

Provided that, when such a dispensation has been so given, the trustee shall forthwith make and file with the Registrar of Bills of Sale a statutory declaration to that effect, which declaration shall, in favour of a purchaser for value, be conclusive evidence, and in other cases be primâ facie evidence of the facts declared.

(2) If a trustee under a deed of arrangement fails to comply with the requirements of this section, the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the execution of the deed, or, if he then resided or carried on business in the London bankruptcy district, the High Court, on the application of any creditor and after hearing such persons as it may think fit, may declare the deed of arrangement to be void or may make an order appointing another trustee in the place of the trustee appointed by the deed of arrangement.

(3) A certificate that the security required by this section has been given by a trustee, signed by the Registrar to whom it was given and filed with the Registrar of Bills of Sale, shall be conclusive evidence of the fact.

(4) All moneys received by a trustee under a deed of arrangement shall be banked by him to an account to be opened in the name of the debtor's estate.

Penalty on trustee acting when deed of arrangement void.
50 & 51 Vict. c. 57.

30.—If a trustee acts under a deed of arrangement—

(*a*) after it has to his knowledge become void by reason of non-compliance with any of the requirements of the Deeds of Arrangement Act, 1887, or this Act; or

(*b*) after he has failed to give security within the time and in the manner provided for by this Act;

he shall be liable on summary conviction to a fine not exceeding five pounds for every day between the date on which the deed became void or the expiration of the time within which security should have been given, as the case may be, and the last day on which he is proved to have acted as trustee, unless he satisfies the court before which he is accused that his contravention of the law was due to inadvertence, or that his action has been confined to taking such steps as were necessary for the protection of the estate.

Effect of notice to creditors of deed of arrangement.

31.—(1) If the trustee under a deed of arrangement serves in the prescribed manner on any creditor of the debtor notice in writing of the execution of the deed and of the filing of the certificate of creditors' assents, with an intimation that the creditor will not, after the expiration of one month from the service of the notice, be entitled to present a bankruptcy petition against the debtor founded on the execution of the deed, or on any other act committed by him in the course or for the purpose of the proceedings preliminary to the execution of the deed, as an act of bankruptcy, that creditor shall not, after the expiration of that period (unless the deed becomes void), be entitled to present a bankruptcy petition against the debtor founded on the execution of the deed, or on any act so committed by him, as an act of bankruptcy.

(2) Where a deed of arrangement has become void by virtue of the Deeds of Arrangement Act, 1887, or this Act, the fact that a creditor has assented to the deed shall not disentitle him to present a bankruptcy petition founded on the execution of the deed of arrangement as an act of bankruptcy.

32.—(1) Where in the course of the administration of the estate of a debtor who has executed a deed of arrangement, or within twelve months from the date when the final accounts of the estate were rendered, an application in writing is made to the Board of Trade by a majority in number and value of the creditors who have assented to the deed for an official audit of the trustee's accounts, the Board may cause the trustee's accounts to be audited, and in such case all the provisions of the Bankruptcy Act, 1883, relating to the institution and enforcement of an audit of the accounts of a trustee in bankruptcy (including the provisions as to fees) shall, with necessary modifications, apply to the audit of the trustee's accounts, and the Board shall have power on the audit to require production of a certificate for the taxed costs of any solicitor whose costs have been paid or charged by the trustee, and to disallow the whole or any part of any costs in respect of which no certificate is produced. Audit and accounts

The Board of Trade may determine how and by what parties the costs, charges, and expenses of and incidental to the audit (including any prescribed fees chargeable in respect thereof) are to be borne, whether by the applicants or by the trustee or out of the estate, and may, before granting an application for an audit, require the applicants to give security for the costs of the audit.

(2) Every trustee under a deed of arrangement shall, at the expiration of six months from the date of the registration of the deed, and thereafter at the expiration of every subsequent period of six months until the estate has been finally wound up, send to each creditor who has assented to the deed a statement in the prescribed form of the trustee's accounts and of the proceedings under the deed down to the date of the statement, and shall, in his affidavit verifying his accounts transmitted to the Board of Trade, state whether or not he has duly sent such statements, and the dates on which the statements were sent; and, if a trustee fails to comply with any of the provisions of this subsection, the High Court may, for the purpose of enforcing

those provisions, exercise on the application of the Board of Trade all the powers conferred on the Court by subsection (5) of section one hundred and two of the Bankruptcy Act, 1883, in cases of bankruptcy.

(3) At any time after the expiration of two years from the date of the registration of a deed of arrangement, the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the execution of the deed, or, if he then resided or carried on business in the London bankruptcy district, the High Court, may, on the application of the trustee or a creditor, or on the application of the debtor, order that all moneys representing unclaimed dividends and undistributed funds then in the hands of the trustee or under his control be paid into court.

Penalty on trustees under deeds of arrangement for failure to transmit accounts.

33. If a trustee under a deed of arrangement fails to transmit the accounts of his receipts and payments as such trustee, in accordance with the requirements of paragraph (*b*) of subsection (2) of section twenty-five of the Bankruptcy Act, 1890, as amended by this Act, he shall on summary conviction be liable to a fine not exceeding five pounds for each day during which the default continues, without prejudice, however, to the exercise by a judge of the High Court of the powers conferred by that paragraph for the purpose of enforcing the provisions thereof.

Preferential payment to creditor an offence.

34. If a trustee under a deed of arrangement pays to any creditor out of the debtor's property a sum larger in proportion to the creditor's claim than that paid to other creditors entitled to the benefit of the deed, then, unless the deed authorises him to do so, or unless such payments are either made to a creditor entitled to enforce his claim by distress or are such as would be lawful in a bankruptcy, he shall be guilty of a misdemeanour.

Courts in which applications for enforcement of trusts to be made.

35. Any application by the trustee under a deed of arrangement, or by the debtor, or by any creditor entitled to the benefit of a deed of arrangement, for the enforcement of the trusts or the determination of questions under it, shall be made to the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business at the date of the registration of the deed, or, if he then resided or carried on business in the London bankruptcy district, to the High Court:

Provided that any question as to whether any person claiming to be a creditor entitled to the benefit of a deed of arrangement is so entitled, may, subject to rules made under the Deeds of Arrangement Act, 1887, be decided either by the court having such jurisdiction as aforesaid or by the High Court.

Power to bankruptcy courts to appoint new

36. The power to appoint a new trustee or new trustees under section twenty-five of the Trustee Act, 1893, may, in the case of a deed of arrangement, be exercised either by the High

Court or by the court having jurisdiction in bankruptcy in the district in which the debtor resided or carried on business, and the provisions of that section shall apply accordingly.

trustee of deed of arrangement. 56 & 57 Vict. c. 53.

Extension of Act of 1887 instruments for benefit of three or more creditors.

37.—(1) The Deeds of Arrangement Act, 1887, shall extend to any instrument of the classes mentioned in section four of that Act, made after the commencement of this Act by, for, or in respect of, the affairs of a debtor who was insolvent at the date of the execution of the instrument for the benefit of any three or more creditors, in like manner as if such instrument had been made by, for, or in respect of the affairs of the debtor for the benefit of his creditors generally, but no such instrument (unless it is in fact for the benefit of creditors generally) shall be deemed to be a deed of arrangement within the meaning of the foregoing provisions of this Part of this Act, except such of those provisions as impose penalties on trustees for failure to transmit accounts.

(2) For the purposes of this section, any two or more joint creditors shall be treated as a single creditor.

Provisions for the protection of trustees under void deeds.

38. Where a deed of arrangement is void by reason that the requisite majority of creditors have not assented thereto, or, in the case of a deed for the benefit of three or more creditors, by reason that the debtor was insolvent at the time of the execution of the deed and that the deed was not registered as required by this Act, but is not void for any other reason, and a receiving order is made against the debtor upon a petition presented after the lapse of three months from the execution of the deed, the trustee under the deed shall not be liable to account to the trustee in the bankruptcy for any dealings with or payments made out of the debtor's property which would have been proper if the deed had been valid, if he proves that at the time of such dealings or payments he did not know, and had no reason to suspect, that the deed was void.

Notice to creditors of avoidance of deed.

39. When a deed of arrangement is void by reason of this Act, the trustee shall, as soon as practicable after he has become aware that the deed is void, give notice in writing thereof to each creditor whose name and address he knows, and file a copy of the notice with the Registrar of Bills of Sale, and, if he fails to do so, he shall be liable, on summary conviction, to a fine not exceeding twenty pounds.

Payment of expenses incurred by trustees.

40. Where a deed of arrangement is avoided by reason of the bankruptcy of the debtor, any expenses properly incurred by the trustee under the deed in the performance of any of the duties imposed on him by this Part of this Act shall be allowed or paid him by the trustee in the bankruptcy as a first charge on the estate.

PART III.

GENERAL.

Application of Act when receiving order made under 46 & 47 Vict. c. 52. s. 103 (5).

41. When a receiving order is made against the debtor under subsection (5) of section one hundred and three of the principal Act, this Act shall apply as if for references to the presentation of a petition by or against a person there were substituted references to the making of such a receiving order.

Short title, commencement, and interpretation.

42.—(1) This Act may be cited as the Bankruptcy and Deeds of Arrangement Act, 1913, and Part I. of this Act shall be construed with the Bankruptcy Acts, 1883 and 1890, and may be cited with those Acts as the Bankruptcy Acts, 1883 to 1913, and Part II. of this Act shall be construed with the Deeds of Arrangement Act, 1887, and may be cited with that Act and the Deeds of Arrangement Amendment Act, 1890, as the Deeds of Arrangement Acts, 1887 to 1913:

53 & 54 Vict. c. 24.

Provided that, notwithstanding that Part II. of this Act is to be construed with the Deeds of Arrangement Act, 1887, no part of this Act shall extend to Ireland.

(2) This Act shall come into operation on the first day of April nineteen hundred and fourteen.

(3) In this Act, unless the context otherwise requires, the expression "the Debtors Act, 1869," means that Act as amended by the Bankruptcy Acts, 1883 and 1890, or any other enactment, including this Act.

Section 2.

SCHEDULES.

FIRST SCHEDULE.

SECTION ELEVEN OF THE DEBTORS ACT, 1869, AS AMENDED BY SUBSEQUENT ENACTMENTS, INCLUDING SECTION TWO OF THIS ACT.

Punishment of fraudulent debtors.

Any person adjudged bankrupt or in respect of whose estate a receiving order has been made shall, in each of the cases following, be deemed guilty of misdemeanour, and on conviction thereof shall be liable to imprisonment for any term not exceeding two years with or without hard labour; (that is to say)—

(1) If he does not to the best of his knowledge and belief fully and truly discover to the trustee all his property, real and personal, and how and to whom and for what consideration and when he disposed of any part thereof, except such part as has been disposed of in the ordinary way of his trade (if any) or laid out in the ordinary expense of his family, unless he proves that he had no intent to defraud:

(2) If he does not deliver up to the trustee, or as he directs, all such part of his real and personal property as is in his custody or under his control, and which he is required by law to deliver up, unless he proves that he had no intent to defraud:

(3) If he does not deliver up to the trustee, or as he directs, all books, documents, papers, and writings in his custody or under his control relating to his property or affairs, unless he proves that he had no intent to defraud:

(4) If, after the presentation of a bankruptcy petition by or against him, or within six months next before such presentation, he conceals any part of his property to the value of ten pounds or upwards, or conceals any debt due to or from him, unless he proves that he had no intent to defraud :

(5) If, after the presentation of a bankruptcy petition by or against him, or within six months next before such presentation, he fraudulently removes any part of his property to the value of ten pounds or upwards :

(6) If he makes any material omission in any statement relating to his affairs, unless he proves that he had no intent to defraud :

(7) If, knowing or believing that a false debt has been proved by any person under the bankruptcy, he fails for the period of a month to inform the trustee thereof :

(8) If, after the presentation of a bankruptcy petition by or against him, he prevents the production of any book, document, paper, or writing affecting or relating to his property or affairs, unless he proves that he had no intent to conceal the state of his affairs or to defeat the law :

(9) If, after the presentation of a bankruptcy petition by or against him, or within six months next before such presentation, he conceals, destroys, mutilates. or falsifies or is privy to th concealment, destruction, mutilation or falsification of any book or document affecting or relating to his property or affairs, unless he proves that he had no intent to conceal the state of his affairs or to defeat the law :

(10) If, after the presentation of a bankruptcy petition by or against him, or within six months next before such presentation, he makes, or is privy to the making of, any false entry in any book or document affecting or relating to his property or affairs, unless he proves that he had no intent to conceal the state of his affairs or to defeat the law :

(11) If, after the presentation of a bankruptcy petition by or against him, or within six months next before such presentation, he fraudulently parts with, alters, or makes any omission, or is privy to the fraudulently parting with, altering or making any omission, in any document affecting or relating to his property or affairs :

(12) If, after the presentation of a bankruptcy petition by or against him, or at any meeting of his creditors within six months next before such presentation, he attempts to account for any part of his property by fictitious losses or expenses :

(13) If, within six months next before the presentation of a bankruptcy petition by or against him, or in the case of a receiving order made under section one hundred and three of the Bankruptcy Act, 1883, before the date of the order, or after the presentation of a bankruptcy petition and before the making of a receiving order, he, by any false representation or other fraud, has obtained any property on credit and has not paid for the same :

(14) If, within six months next before the presentation of a bankruptcy petition by or against him, or in the case of a receiving order made under section one hundred and three of the Bankruptcy Act, 1883, before the date of the order, or after the presentation of a bankruptcy petition and before the making of a receiving order, he obtains under the false pretence of carrying on business, and, if a trader, of dealing in the ordinary way of his trade, any property on credit and has not paid for the same, unless he proves that he had no intent to defraud :

(15) If, within six months next before the presentation of a bankruptcy petition by or against him, or in the case of a receiving order made under section one hundred and three of the Bankruptcy Act, 1883, before the date of the order, or after the presentation of a bankruptcy petition and before the making of a receiving order, he pawns, pledges, or disposes of any property which he has obtained on credit and has not paid for, unless, in the case of a trader, such pawning, pledging, or disposing is in the ordinary way of his trade, and unless in any case he proves that he had no intent to defraud :

(16) If he is guilty of any false representation or other fraud for the purpose of obtaining the consent of his creditors or any of them to an agreement with reference to his affairs or to his bankruptcy.

For the purpose of this section, the expression "trustee" means the official receiver of the debtor's estate or trustee administering his estate for the benefit of his creditors.

Section 27.

SECOND SCHEDULE.

MINOR AMENDMENTS OF BANKRUPTCY ACTS.

Enactment to be amended.	Nature of Amendment.
The Bankruptcy Act, 1883 (46 & 47 Vict. c. 52).	
Section 20 (1) - -	The words "accepted or" shall be repealed.
Section 48 - - -	After the words "with a view of giving such creditor" there shall be inserted the words "or any surety or guarantor for the debt "due to such creditor."
Section 51 - - -	The words "or a debtor against whom a receiving order has been made" shall be inserted after the words "a bankrupt," and the words "or the debtor" shall be inserted after the words "the bankrupt," wherever those words occur.
Section 59 (2) - -	The words "unless otherwise directed by the Board of Trade" shall be substituted for the words "subject to any order to the "contrary that may be made by the "court."
Section 164 - -	The word "debtor's" shall be substituted for the word "bankrupt's."
First Schedule, paragraph 2.	The words "six clear days" shall be substituted for the words "seven days."
The Bankruptcy Act, 1890 (53 & 54 Vict. c. 71).	
Section 1 - - -	The words "the proceedings on such summons are finally disposed of, settled, or "abandoned" shall be substituted for the words "the sheriff is ordered to withdraw, "or any interpleader issue thereon is "finally disposed of."

Enactment to be amended.	Nature of Amendment.
The Bankruptcy Act, 1890 (53 & 54 Vict. c. 71)—*cont.*	
Section 8 (1) - -	The words "except when the court in accord-"ance with rules under the principal Act "otherwise directs" shall be inserted after the words "the application shall" where those words last occur.
Section 25 (2) (*b*) - -	The words "at such times as may be prescribed" shall be substituted for the words "within thirty days of the first day of January in each year."
Section 25 (3) - -	The words "the debtor or any creditor or other person interested" shall be substituted for the words "any creditor," and the following words shall be added at the end of the subsection: "and copies of or "extracts from the accounts shall, on pay-"ment of the prescribed fee, be furnished "to the debtor, the creditors, or any other "persons interested."

CHAPTER 35.

An Act to apply certain sums out of the Consolidated Fund to the service of the years ending on the thirty-first day of March one thousand nine hundred and twelve and one thousand nine hundred and fourteen, and to appropriate the Supplies granted in this Session of Parliament. [15th August 1913.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom of Great Britain and Ireland in Parliament assembled, towards making good the supply which we have cheerfully granted to Your Majesty in this session of Parliament, have resolved to grant unto Your Majesty the sums herein-after mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted; and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Grants out of Consolidated Fund.

Issue of 461*l*. 6*s*. 4*d*. out of the Consolidated Fund.

1. The Treasury may issue out of the Consolidated Fund of the United Kingdom of Great Britain and Ireland, and apply towards making good the supply granted to His Majesty for the